Textiles Committee Report on Domestic Demand of T&A:

Market for Textiles & Clothing (MTC) 2020-Executive Summary

1.0 Introduction: Indian Textiles and Apparel Overview

The Indian Textiles and Apparel (T&A) industry plays a pivotal role in the Indian economy contributing about 7 percent in industrial production and 2 percent to the GDP of the country. The T&A industry employs about 45 million people and accounts for 10.75 percent of the total export of the country with a share of 4.58 percent in textiles (HS Chapter 50 to 60) and 6.17 percent in Apparel and Made-ups (HS Chapter 61 to 63) in the global market during 2020.

1.1 Current Local Indian Demand: The local domestic demand for textiles comprises of total demand from Household sector as well as Non-Household sector. The Household sector is a major growth driver contributing about 56 percent to the overall demand of T&A products. Increase in disposable income, change in fashion trends, improved socio-economic condition of the people, increased population majorly contribute in purchase decisions of consumers for T & A.

1.2 In order to estimate the domestic demand for T&A in the Household sector, the Textiles Committee has been publishing an Annual Report titled "**Market for Textiles and Clothing (MTC)"** since1969. The report estimates per capita and aggregate demand of T&A in the country by region, gender, area, income group etc. besides estimating preference pattern by fibre, product and groups viz. woven apparels, knitted apparels, home textiles etc. in the household sector of the country. This is the only authentic report available in the country, which provides domestic market size of textiles at disaggregated level.

1.3 The report is published on the basis of the textile purchase data collected bi-monthly from selected representative panel Households across the country. The database generated from the collected data is analyzed and findings of the report are published in form of MTC Reports.

2.0 Market for Textiles and Clothing: National Household Survey 2020: The latest report *"Market for Textiles and Clothing (MTC):National Household Survey-2020"* has been prepared by the Textiles Committee estimating the domestic demand for 2017 to 2021 based on actual data for 2017 & 2018 and projections for 2019, 2020 and 2021 using advanced statistical tools.

3.0 The key findings of the "Market for Textiles and Clothing (MTC)" are as follows:

3.1 Domestic demand of T&A in the Household sector:

The overall market size of T&A industry including exports registered a CAGR of ~7% growing from USD 159 billion in 2017 to USD 182 billion in 2019 and reduced down to estimated USD 132 billion in 2020 on account of COVID -19 pandemic which, however is likely to jump up to USD 152 billion in 2021 with Household sector contributing 62% followed by 24% by exports and 14% by non-household sector.

The Indian T&A industry has been impacted by the Covid-19 pandemic registering a negative growth in all India Average purchase of T&A. However, Indian industry has

also leveraged COVID pandemic times into new opportunities which set a great example of partnership between Government and Industry, and has catapulted India into becoming Worlds' 2nd largest manufacturer of PPEs (Body coveralls) from a virtually non-existent industry.

In 2020, there is an estimated overall 29% reduction of demand in household sector in terms of quantity compared to 2019. The demand has declined by 26 % in value terms during the same period. However, it is heartening to note that 2021 looks optimistic and very encouraging with an estimated growth prospect of 11% and 17% of demand in household sector in quantity and value terms respectively.

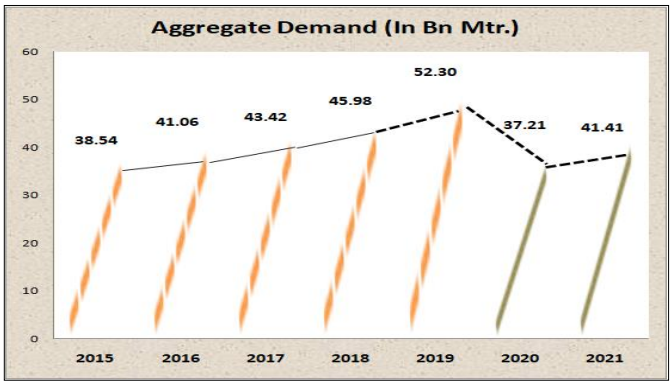
Table-1: Market Size of India's T&A

Sectors	Value In USD billion					
Particulars	2016	2017	2018	2019	2020	2021
Households	78	88	95	117	83	94
Exports	35	37	37	35	30	36
Non-household*	33	33	38	30	19	22
Total (Market Size)	147	159	171	182	132	152
* Residual estimate						

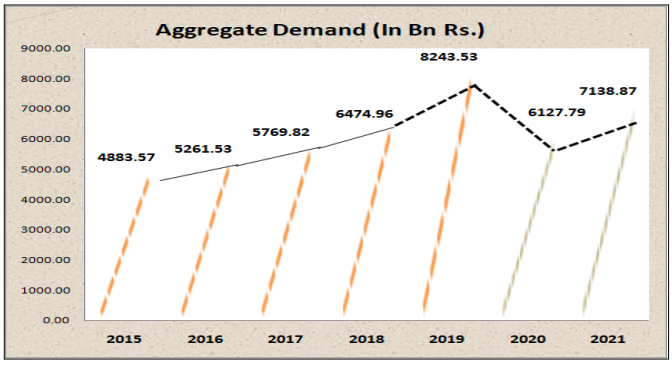
Out of the overall domestic market size of USD 152 billion (2021), the domestic market size of India's Household sector is expected to be at USD 94 billion by 2021 growing at CAGR of 3.7 percent during 2016-2021. The Non-Household[1] sector is estimated to grow from USD 19 billion in 2020 to USD 22 billion in 2021.

3.2 Aggregate demand for T&A in Household sector

The aggregate demand for T&A grew @ 5.89% from 43.42 billion metres in 2017 to 45.98 billion metres in 2018 and after a dip in the year 2020 is likely to grow to 41.41 billion metres by 2021.



In terms of value, the aggregate demand has increased @ 12.22% from USD 88.28 Bn (i.e. Rs.5769.82 billion in 2017) to USD 95.32Bn (i.e. Rs. 6474.96 billion in 2018) finally to USD 93.91Bn (i.e. Rs.7138.87 billion in 2021). It is important to note that the domestic demand has continuously been experiencing positive growth except 2020, which is influenced by the Corona Pandemic.

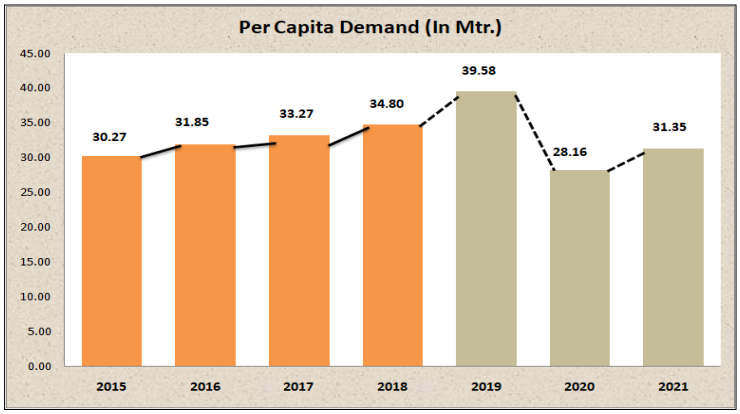


[1] Since exact estimates on demand of Non-Household sector are not available, method of residual estimate is used for the purpose of estimating the demand

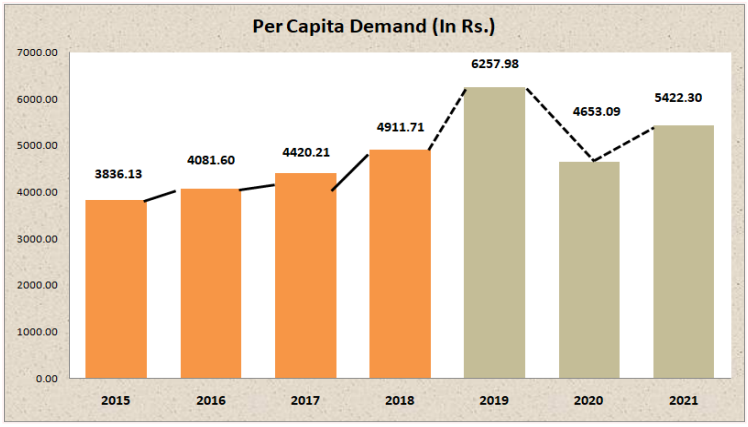
3.3 Percapita demand in Household Sector (Quantity & value):

An Indian is likely to purchase 31.35 meters in 2021 and spend Rs.5422 for purchasing T&A products.

The percapita demand for T&A grew @ 4.62% from 33.27 metres in 2017 to 34.80 metres in 2018 and after a dip in the year 2019 is likely to grow to 31.35 metres in 2021.



In value terms, percapita demand has increased @ 11.12% from Rs. 4420.21 in 2017 to Rs. 4911 in 2018 after declining to Rs. 4653 in 2020 due to pandemic and it is likely to grow to Rs.5422.30 in 2021.



3.4 Demand of T&A in Urban and Rural India

The proportion of demand of T&A in urban & rural areas is likely to be 34:66 in 2021. The demand is urban areas is estimated to increase from 13.04 billion metres in 2020 (35.04 % of total demand) to 14.19 billion metres in 2021 (34.25 %). Similarly, the demand in rural area estimated to increase from 24.17 billion metres in 2020 (64.96 % of total demand) to 27.29 billion metres in 2021 (65.75 %).

While the demand for T&A has increased from 43.24 billion metres in 2017 to 52.30 billion metres in 2019 before declining to 37.21 billion metres in 2020 due to pandemic, it is likely to grow to 41.41 billion metres @11.31 in 2021. The growth in 2021 is expected to help in reversing the slump in demand for T&A in the pandemic period.

3.5 Demand for T&A by Region:

In order to capture the preference pattern of the consumers in different geographical contours, the study analyzed demand in four regions. The demand from eastern region is estimated to be highest with 30.89% of total textile purchases in 2021 closely followed by Western region (26.25%), Northern (24.32%) and Southern region (18.53 %) in the same year.

3.6 Fibre wise Demand for T&A:

Among the fibres, the demand for MMF based T&A is highest among all fibres and is likely to grow @ 11.57% from 21.33 billion metres in 2020 to 23.79 billion metres in 2021.

Similarly demand for cotton fibre is likely to grow @ 9.79 % from 14.99 billion metres in 2020 to 16.41 billion metres in 2021 whereas the demand for pure silk fibre is likely to grow @ 21.48% from 423 million metres in 2020 to 513 million metres in 2021.The demand for woollen fibre is expected to grow @ 36.63% from 509 million metres in 2020 to 696 million metres in 2021.

3.7 Variety wise demand for T&A:

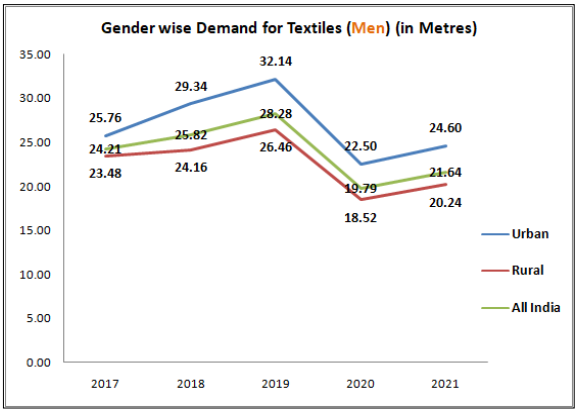
The preference of consumers is highly skewed in favour of woven T&A as compared to knitted one during 2017 to 2020 and likely to dominate in 2021. The contribution of the woven T&A is likely to be 88.82% in 2021 as compared to 13.18% by knitted one.

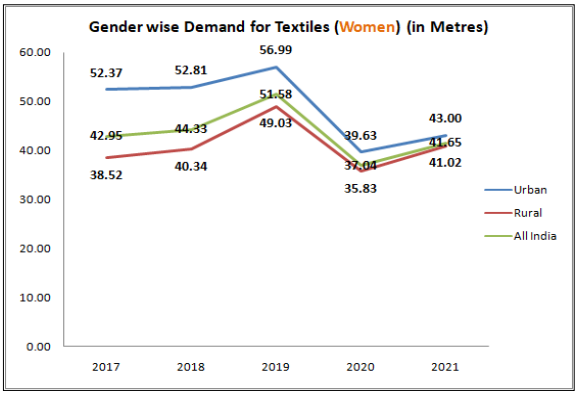
While demand for woven T&A increased from 43423 million metres in 2017 to 52296 million metres in 2019 before declining 37205 million metres in 2020, the demand for knitted T&A experienced growth from 5147 million metres in 2017 to 5526 million meters in 2019 during the same period before declining to 4800 million metres in 2020.

The demand for woven and knitted T&A is likely to be 35954 million metres and 5460 respectively in 2021 with a growth of 11.31 % as compared to 2020.

It is important to note that knitted T&A is enhancing its market share during last five years from 12% to 13.18% due to introduction of new products ranges in the categories like leggings, Lycra based products, etc.

3.8 Gender wise Demand for T&A





Women have always been growth drivers for T&A demand in domestic market.

The per capita demand of T&A for Women grew from 42.95 metres (2017) to 44.33 metres (2018) @ 3.21% before declining to 37.04 meters 2020 due to pandemic. It is likely to grow to 41.65 metres in 2021.

On the other hand, Per capita demand for Men grew 6.65% from 24.21 meters in 2017 to 25.82 metres in 2018 before declining to 19.79 meters in 2020. It is likely to be 21.64 metres in 2021.

In value terms, per capita demand have increased @ 6.33% from Rs. 5069 in

2017 to Rs. 5390 in 2018 before declining to Rs. 5111 in 2020. It is likely to increase to Rs.5951 @ 16.44% in 2021.

Hence, an average Indian Woman spend Rs.321.11 more in 2018 over 2017 and is likely to spend Rs.846.07 more in 2021 over 2020 on T&A.

Similarly, an average Indian man spend Rs. 624.51 in 2018 over 2017 and is likely to spend 689.05 more in 2021 as compared to 2020.

3.9 Demand by Sector of Manufacturing:

Fabrics being the basic raw material used for manufacturing end use products, effort is also made to estimate contribution of different sectors to the demand of fabrics. The contribution pattern also indicates decentralised pattern of the fabrics manufacturing in the sector as mill made & power loom sector contributed 84.51% with a demand of 34990 billion metres in 2021. The Knitted/Hosiery and Handloom sectors are likely to contribute 13.18% with demand of 5460 million metres and 2.31% with demand of 955 million metres respectively in 2021.

The demand of the Mill & Powerloom, Knitted /Hosiery and Handloom sector has increased from 43423 million metres in 2017 to 52296 million metres in 2019 before declining by 37205 million metres @ -28.86% in 2020.

3.10 Demand for Major Varieties:

21 products from different varieties groups are contributing significantly to the overall demand of the T&A. These important varieties from personal clothing and home textiles are as follows:

Table -2: Demand for Major Varieties

Sl. No.	All India (Quantity in Million pieces)						
	Figure (In Million)	2016	2017	2018	2019	2020	2021
		All India-All Fibre (In Million Pieces)					
	Western Wear						
1	Shirt	1071	1299	1631	2139	1627	1941
2	Trouser	553	603	699	930	709	846
3	Shirting (Mn. Mtrs)	646	690	721	673	379	480
4	Suiting (Mn. Mtrs)	309	304	446	368	221	255
5	Jeans Male	408	324	328	450	345	434
6	Jeans Female	49	27	38	45	33	40
7	T-shirt (M)	476	521	678	787	569	639
8	T-shirt (F)	63	60	69	90	70	86
9	Sweater (M)	279	256	268	692	608	823
	Ethnic Wear						
10	Saree	2510	2761	2840	3227	2302	2578
11	Dhoti (M)	305	442	429	448	272	300
12	Kurta pajama	50	76	68	80	59	68
13	SalwarKameez (F)	637	602	653	807	581	657
14	Ladies Dress Material (Mn. Mtrs)	909	825	840	878	618	750

15	Leggings (Woven+ Knitted)	151	121	175	221	175	216
	Intimate Wear						
16	Banian (M)	1015	710	872	815	535	587
17	Underwear (M)	817	572	695	647	438	430
18	Panties	291	191	243	262	172	179
19	Brassier	114	152	96	100	66	78
	Home Textile Items						
20	Bed sheet-single	333	298	423	479	346	391
21	Towel	422	515	498	484	315	365

The demand for all these major varieties are likely to increase in 2021 as compared to the pandemic year (2020) indicating an overall positive growth in the demand for T&A in the household sector on the country.

4.0 Conclusion

The overall market size of T&A sector including exports registered a significant growth by growing from USD 159 billion in 2017 to USD 182 billion in 2019 at CAGR of ~7%. The Corona pandemic has adversely affected the domestic demand as the demand is estimated to have declined to USD 132 billion in 2020 before indication of increasing to USD 152 billion in 2021. With household sector contributing 62% followed by 24% by exports and 14% by non-household sector. Hence, demand in the household sector is likely to be key induced factor for overall well being of manufacturing activity of the sector.

The expected growth in the per-capita demand by the consumers particularly from women consumers is expected to provide much needed support to the sector in the post pandemic period and help in reviving the fortune of the sector.

However, the study also captured the change in preference pattern of the consumers from traditional product baskets to more diversified product baskets. The increase in the share of the knitted varieties is also likely to strengthen the manufacturing activity in this important growing segment.

The growing demand for the newly emerged products like legging etc. provides an indication at the change in preference pattern of the consumers of the country during the period. There are many other findings in the MTC Report 2020 which may provide authentic data & insights for informed decision making by the businesses, trade & industry, researchers & policy makers etc.

Source: National Household Survey: Market for Textile and Clothing (MTC)-2020

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